NCE EXAM PREP

Practice Exam 24

Domain 6

Legal & Ethical Compliance

34 Practice Questions | 45 minutes

A, B, C answer choices

Answer Key and Explanations included

> **Instructions.** Select the single best answer for each question. Record your answers separately. This domain practice set is drawn from Full-Length Practice Exam 04. Use the suggested 45-minute practice timer. Do not consult Part B until you complete Part A. These domain timings are editorial practice allocations, not official NBCC section limits.

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PART A — QUESTIONS

Choose one answer (A, B, or C) per question.

Question 1

> A client pays in full for a counseling service and asks the clinic not to disclose that service to the client's health plan. The applicable privacy rule requires the clinic to honor this restriction when payment is complete unless disclosure is otherwise required by law.

What should the clinic do?

A) Document and flag the restriction so the fully paid service is not disclosed to the plan

B) Submit the service to the plan because enrollment eliminates the client's restriction right

C) Tell the client that privacy restrictions apply only to psychotherapy notes

Question 2

> A counselor receives an authorization that appears to permit release of a client's record. The signature differs markedly from prior signatures, and the client states by telephone that no authorization was signed. Clinic policy requires verification and investigation of suspected forgery.

What should the counselor do?

A) Release the record because the form contains all required fields

B) Suspend the release, preserve the document, and follow the verification and investigation process

C) Ask the requester to add a witness signature and then send the record

Question 3

> Before releasing a PDF treatment summary, a counselor notices that hidden document metadata contains another client's name from the template used to create it. No disclosure has yet occurred.

What should the counselor do?

A) Send the file because hidden metadata is not part of the visible record

B) Rename the file without examining the embedded information

C) Stop the release, remove and verify the unintended metadata, and assess the template workflow

Question 4

> At the start of a telehealth session, a counselor sees that the client is driving on a highway and holding the phone near the steering wheel. The client reports no emergency and says the destination is 15 minutes away.

What should the counselor do?

A) Continue with audio only because the client is responsible for driving safely

B) Pause clinical discussion and have the client reconnect only after safely parking in a private location

C) Limit the session to relaxation training that the client can practice while driving

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Question 5

> A counselor drafts a note that calls a client "lazy and manipulative" but does not describe the behavior supporting those labels. The record will be used for care coordination and reimbursement.

How should the counselor revise the note?

A) Document objective, clinically relevant observations and clearly attributed client statements

B) Keep the labels because concise judgments are more useful than behavioral details

C) Remove all discussion of difficult behavior so the record cannot offend the client

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Question 6

> A board-approved supervisor is assigned eight prelicensed counselors. The board rule allows no more than six supervisees at one time and requires a compliant supervisor to be designated before services continue.

What should the supervisor do?

A) Keep all eight because the limit applies only to individual supervision meetings

B) Divide each meeting into shorter segments so the total supervision time remains unchanged

C) Stop exceeding the limit and arrange qualified supervision for the excess supervisees

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Question 7

> A licensing rule requires counselors to report a criminal conviction to the board within 30 days. A counselor is convicted of a misdemeanor covered by the rule and plans to wait five months until the next renewal application.

What should the counselor do?

A) Wait because the board will receive the same information during renewal

B) Submit the required report within 30 days and provide the requested disposition information

C) Report only if the conviction occurred during a counseling session

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Question 8

A counselor uses a shared clinic workstation and discovers that the browser saved the counselor's electronic health record password for automatic login. Security policy prohibits browser-stored credentials and requires individual authenticated access.

What should the counselor do?

A) Remove the saved credential, change it if exposure is possible, and follow the approved access procedure

B) Leave autofill enabled because the workstation remains inside the clinic

C) Share the saved login with coworkers so everyone can document efficiently

Question 9

A client proposes exchanging original artwork for four counseling sessions. Agency policy permits bartering only when it is not exploitative, the value and terms are clear, the arrangement is culturally appropriate, and it will not impair treatment.

What should the counselor do?

A) Refuse automatically because every noncash payment is unethical

B) Evaluate the proposed exchange with the client and document clear terms only if all policy safeguards are met

C) Accept the artwork without assigning value because discussing money could damage rapport

Question 10

When a counseling practice ends a contract with a technology vendor that stores client information, which exit practice is most appropriate?

A) Leave the data with the vendor indefinitely in case the practice later renews the contract

B) Delete the practice's local copies first so only the vendor controls the transition

C) Securely export authorized records and verify return or deletion of vendor-held data under the contract

Question 11

A clinic considers facial recognition as the only way clients can open the portal. The vendor would retain biometric templates to train its commercial model. Clinic policy requires specific consent, a nonbiometric alternative, and privacy review before biometric use.

What should the clinic do?

A) Withhold implementation until the required review, consent, and alternative access are established

B) Activate the feature because biometric data are safer than passwords in every circumstance

C) Require the feature only for clients who receive insurance reimbursement

Question 12

> An annual emergency drill shows that staff telephone numbers are outdated, a designated exit is blocked by stored boxes, and new employees do not know the assembly location. No actual emergency is occurring.

What should the practice director do?

A) Correct the plan and hazards, retrain staff, and conduct a follow-up test

B) File the drill results without changes because no client was injured

C) Wait for a real emergency to identify which problems matter in practice

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Question 13

A payer contract prohibits routine copayment waivers but permits documented waivers based on genuine financial hardship. Which practice is appropriate?

A) Advertise that every insured client receives an automatic copayment waiver

B) Waive copayments only for clients who refer friends to the practice

C) Apply a documented hardship policy consistently and follow the payer agreement

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Question 14

> A counselor synchronizes a work calendar to a tablet shared with family members. Appointment titles containing client names and diagnoses begin appearing on the shared household calendar. Practice policy prohibits clinical details in consumer calendar synchronization.

What should the counselor do?

A) Stop the synchronization, remove exposed details, report and assess the event, and use the approved calendar

B) Keep the calendar because family members are unlikely to recognize the clients

C) Replace diagnoses with initials but continue syncing full client names

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Question 15

> A counselor wants to present a client's case at a public conference. The case includes a rare occupation, a distinctive accident, and a small-town setting that could identify the client even without a name. The client has not consented to public use.

What should the counselor do?

A) Present the case because removing the name always makes a case anonymous

B) Obtain valid consent or alter the case sufficiently to prevent reasonable identification before public use

C) Present only to paying attendees because a registration fee creates confidentiality

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Question 16

Which advertising statement is most appropriate for a counseling practice?

A) "Our clinicians describe their qualifications accurately and do not guarantee a particular result"

B) "Every client who completes three sessions will be free of anxiety"

C) "Our method works permanently even when previous treatment has failed"

Question 17

> A former client posts a negative public review that identifies the reviewer as having received counseling. The counselor wants to reply with appointment dates and missed-session history to show that the review is unfair.

What is the counselor's best response?

A) Post the attendance facts because the former client disclosed the counseling relationship first

B) Avoid confirming clinical information and use a neutral response or private complaint process

C) Ask current clients to post positive reviews that outweigh the negative one

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Question 18

A board rule requires a supervisor who will be unavailable for an extended period to designate an approved backup and notify supervisees before leaving. Which action best meets the rule?

A) Arrange the approved backup, document the coverage, and give supervisees clear contact instructions

B) Tell supervisees to suspend all client emergencies until the supervisor returns

C) Ask an unapproved colleague to sign any supervision records created during the absence

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Question 19

If a client has authorized voicemail appointment reminders but not clinical details, which message is most appropriate?

A) "Your trauma-treatment appointment is Tuesday at 2:00 p.m."

B) "Your counselor is calling because your depression score increased"

C) "Please call the office regarding your appointment on Tuesday"

Question 20

> A current client who has no nearby relatives asks the counselor to become executor of the client's will. The role would give the counselor authority over substantial assets and create an ongoing personal and financial relationship.

What is the counselor's best response?

A) Accept because the request demonstrates strong therapeutic trust

B) Decline the role and help the client identify an independent legal or fiduciary resource

C) Accept if the client adds a clause stating that counseling ethics do not apply after death

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Question 21

A coroner requests a narrowly defined treatment summary after a client's death. State law authorizes the coroner to obtain information relevant to determining cause of death, and the request identifies the statutory authority and secure return method.

How should the counselor respond?

A) Refuse because confidentiality after death has no exceptions

B) Send the complete record because a coroner is entitled to every clinical detail

C) Verify the request and disclose only the information required for the authorized purpose

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Question 22

A nonlicensed management-company owner tells employed counselors to use a standardized treatment plan regardless of clinical findings. State law places treatment decisions and professional accountability with the licensed counselor.

How should a counselor respond?

A) Follow the owner's plan because employment transfers clinical responsibility to management

B) Retain licensed clinical judgment and refuse an arrangement that overrides professional duties

C) Use the owner's plan but ask clients to waive any concern about its clinical fit

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Question 23

A state supervision rule prohibits counselors from supervising close relatives because of impaired objectivity. A counselor is asked to become the board supervisor for the counselor's sibling-in-law.

What should the counselor do?

A) Accept because relatives by marriage are never considered close relatives

B) Accept if another counselor informally reviews the supervision notes

C) Decline the role and help identify an eligible, independent supervisor

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Question 24

A practice plans to send boxes of expired paper records to a destruction company. The company has not been vetted, offers no confidentiality agreement or chain-of-custody documentation, and will not provide a destruction certificate.

What should the records custodian do?

A) Use the company because the records have reached the end of the retention period

B) Remove client names with a marker and send the boxes without a contract

C) Delay the transfer and use an approved vendor with appropriate safeguards and destruction documentation

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Question 25

A client collapses in the waiting room and is unable to communicate. Emergency medical personnel request the client's known allergy and medication information. The applicable rule permits disclosure of information necessary for emergency treatment.

What should the counselor do?

A) Refuse until a family member signs an authorization

B) Give emergency personnel the client's complete counseling history

C) Disclose the relevant medication and allergy information needed for emergency care

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Question 26

A current client invites the counselor to invest in the client's new business and promises unusually high returns. The opportunity would create an ongoing financial relationship unrelated to treatment and could affect the counselor's clinical judgment.

What should the counselor do?

A) Invest a small amount so the client does not experience rejection

B) Decline the investment and address any effect of the request on counseling boundaries

C) Invest after termination because ending counseling immediately removes exploitation concerns

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Question 27

A client wants to use insurance but asks the counselor not to disclose any diagnosis to the plan. The payer requires a diagnosis for covered claims, and the client may instead choose self-pay after receiving accurate financial and privacy information.

What should the counselor do before submitting a claim?

A) Explain the diagnosis and disclosure implications, discuss available options, and obtain the client's informed choice

B) Submit a vague diagnosis without telling the client so coverage is preserved

C) Promise that the insurer will receive only session dates even though the claim requires diagnosis information

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Question 28

An intake specialist discovers two electronic charts that appear to belong to the same client but contain different birth dates and treatment histories. Clinic policy requires identity verification and a controlled health-information-management process before charts are merged.

What should the clinic do?

A) Merge the charts immediately using the name that appears most often

B) Verify identity and use the approved merge process while preserving the audit trail

C) Delete the smaller chart because duplicate records cannot both be legally retained

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Question 29

A payer permits an associate's service to be billed under a supervisor only when the supervisor is available in a specified manner. The supervisor was unavailable during a session, but the billing clerk proposes submitting the claim under the supervisor anyway.

What should the practice do?

A) Submit the claim because the supervisor can review the note afterward

B) Apply the payer's rule accurately and do not bill the service as though the condition was met

C) Add a statement that the supervisor was available even though the statement is not true

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Question 30

An unverified caller claiming to be the clinic's technology vendor asks a counselor to install remote-access software and leave the electronic health record open for troubleshooting. Clinic policy requires help-desk verification and limits vendor access to approved, supervised sessions.

What should the counselor do?

A) Verify the request independently and allow only the approved minimum access after protecting open client information

B) Install the software because technology vendors need unrestricted access to diagnose problems

C) Email the caller a password so the repair can continue after the counselor leaves

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Question 31

A counselor changes legal name and practice address. The licensing board requires both changes to be reported within 30 days, but the counselor plans to update only the website and insurer directory.

What should the counselor do?

A) Update only public listings because the active license number remains the same

B) Wait until renewal because address changes are not related to clinical competence

C) Report both changes to the board within the required period and update other records consistently

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Question 32

A group practice opens a satellite office. Its payer contracts require each service location to be credentialed before claims are submitted, but the new site is still pending. A manager proposes billing the sessions under the main-office address.

What should the practice do?

A) Verify and complete location credentialing and submit claims only under accurate, authorized information

B) Use the main address because the same clinicians work at both locations

C) Bill the main address now and correct it only if a payer audits the claims

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Question 33

> A counselor plans to close a practice in six weeks for a move. Several clients need ongoing care, and the informed-consent agreement promises reasonable notice, referral assistance, emergency instructions, and access to records during transitions.

What should the counselor do?

A) Implement the promised transition plan early enough to support continuity and avoid abandonment

B) Wait until the final week so clients do not become anxious about the closure

C) Transfer every client automatically to the counselor who is buying the office furniture

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Question 34

> A clinic learns that a tracking pixel on its online intake form sends page addresses and symptom selections to an advertising network. Clients were not informed, and the network is not an approved clinical vendor.

What should the clinic do?

A) Keep the pixel because advertising analytics do not affect counseling decisions

B) Remove only the most sensitive symptom questions and continue the undisclosed tracking

C) Disable the tracking, contain and assess the disclosure, and use only approved privacy-protective analytics

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PART B — ANSWER KEY AND EXPLANATIONS

Answers match the numbered items in Part A.

Question 1 — Correct: A

Correct Answer: Document and flag the restriction so the fully paid service is not disclosed to the plan

Explanation: The supplied rule requires the clinic to honor the restriction because the service has been paid in full and no contrary legal requirement is present. A record flag helps prevent an accidental claim or other plan disclosure.

Question 2 — Correct: B

Correct Answer: Suspend the release, preserve the document, and follow the verification and investigation process

Explanation: The client's denial and mismatched signature create a credible authenticity problem. Releasing first or merely adding a witness would risk unauthorized disclosure and bypass the clinic's required investigation.

Question 3 — Correct: C

Correct Answer: Stop the release, remove and verify the unintended metadata, and assess the template workflow

Explanation: Hidden metadata can disclose another client's identity even when the visible document is correct. Correcting and verifying the file before release prevents the disclosure, while reviewing the template reduces recurrence.

Question 4 — Correct: B

Correct Answer: Pause clinical discussion and have the client reconnect only after safely parking in a private location

Explanation: Continuing counseling while the client is actively driving creates an avoidable safety and privacy risk. The nonemergency facts allow the counselor to pause and resume only when the client is stationary and can participate safely.

Question 5 — Correct: A

Correct Answer: Document objective, clinically relevant observations and clearly attributed client statements

Explanation: Behavioral facts and attributed statements are more useful and defensible than unsupported character labels. Removing all difficult material would also be inappropriate when it is clinically relevant to care or reimbursement.

Question 6 — Correct: C

Correct Answer: Stop exceeding the limit and arrange qualified supervision for the excess supervisees

Explanation: The board's numerical cap applies to the supervisor's active load, not the length of individual meetings. The supervisor must restore compliance and ensure every affected supervisee has qualified oversight before services continue.

Question 7 — Correct: B

Correct Answer: Submit the required report within 30 days and provide the requested disposition information

Explanation: The board rule creates a separate deadline that is not postponed until renewal. Reporting only convictions tied to counseling would add an exception that the scenario does not provide.

Question 8 — Correct: A

Correct Answer: Remove the saved credential, change it if exposure is possible, and follow the approved access procedure

Explanation: Browser autofill on a shared workstation bypasses individual control and may expose the counselor's account. Removing the credential, assessing exposure, and returning to approved authentication restores accountability.

Question 9 — Correct: B

Correct Answer: Evaluate the proposed exchange with the client and document clear terms only if all policy safeguards are met

Explanation: The policy permits but does not automatically approve bartering. The counselor must examine exploitation, value, culture, and clinical impact and should document any acceptable agreement rather than treating price as irrelevant.

Question 10 — Correct: C

Correct Answer: Securely export authorized records and verify return or deletion of vendor-held data under the contract

Explanation: Vendor exit planning should preserve required records while ending unnecessary outside possession. Verification of return or deletion prevents abandoned copies from remaining outside the practice's control.

Question 11 — Correct: A

Correct Answer: Withhold implementation until the required review, consent, and alternative access are established

Explanation: Biometric templates create sensitive, persistent data and the proposed model-training use has not passed review. The stated policy also prevents making biometrics the only access route, so implementation must wait for consent and a viable alternative.

Question 12 — Correct: A

Correct Answer: Correct the plan and hazards, retrain staff, and conduct a follow-up test

Explanation: A drill is useful only if identified failures lead to remediation and retesting. Outdated contacts, a blocked exit, and uninformed staff are actionable preparedness gaps even though no real emergency occurred.

Question 13 — Correct: C

Correct Answer: Apply a documented hardship policy consistently and follow the payer agreement

Explanation: A genuine hardship exception should be applied under clear, documented criteria consistent with the contract. Routine waivers or referral-based waivers can misrepresent the amount the practice expects to collect and create improper incentives.

Question 14 — Correct: A

Correct Answer: Stop the synchronization, remove exposed details, report and assess the event, and use the approved calendar

Explanation: The shared calendar has exposed identifiable clinical information outside the approved system. Stopping the sync, containing the data, reporting the incident, and switching systems addresses both current risk and future prevention.

Question 15 — Correct: B

Correct Answer: Obtain valid consent or alter the case sufficiently to prevent reasonable identification before public use

Explanation: Removing a name is not enough when a unique combination of facts can identify the client. Valid consent or meaningful alteration protects confidentiality in a public presentation; audience payment does not create a treatment relationship or confidentiality guarantee.

Question 16 — Correct: A

Correct Answer: "Our clinicians describe their qualifications accurately and do not guarantee a particular result"

Explanation: Ethical advertising is accurate and avoids promises that cannot be assured for every client. Guaranteed cures and permanent outcomes misrepresent the variability of counseling response.

Question 17 — Correct: B

Correct Answer: Avoid confirming clinical information and use a neutral response or private complaint process

Explanation: A reviewer's self-disclosure does not authorize the counselor to reveal attendance or other clinical facts. A neutral response or nonpublic process protects confidentiality while allowing the practice to address the complaint.

Question 18 — Correct: A

Correct Answer: Arrange the approved backup, document the coverage, and give supervisees clear contact instructions

Explanation: The rule requires qualified backup supervision and advance notice during the supervisor's absence. Suspending emergencies is not realistic, and an unapproved signer cannot provide compliant supervision.

Question 19 — Correct: C

Correct Answer: "Please call the office regarding your appointment on Tuesday"

Explanation: The client authorized appointment reminders but not diagnosis or treatment details. A generic callback message communicates the permitted purpose while reducing exposure on a voicemail others may hear.

Question 20 — Correct: B

Correct Answer: Decline the role and help the client identify an independent legal or fiduciary resource

Explanation: Serving as executor would create a powerful financial and personal role intertwined with current counseling. An independent professional can meet the client's estate-planning need without placing the counselor in that conflict.

Question 21 — Correct: C

Correct Answer: Verify the request and disclose only the information required for the authorized purpose

Explanation: The scenario supplies lawful coroner authority for information relevant to cause of death. That permits a limited disclosure, not a categorical refusal or an unnecessary release of the complete record.

Question 22 — Correct: B

Correct Answer: Retain licensed clinical judgment and refuse an arrangement that overrides professional duties

Explanation: Employment does not transfer the counselor's legal and ethical accountability to a nonlicensed owner. Standardization may support care, but it cannot replace individualized professional judgment required by the stated law.

Question 23 — Correct: C

Correct Answer: Decline the role and help identify an eligible, independent supervisor

Explanation: The supplied rule prohibits this close-relative supervision because family ties may impair objectivity. Informal review by another counselor would not convert an ineligible supervisor into an approved one.

Question 24 — Correct: C

Correct Answer: Delay the transfer and use an approved vendor with appropriate safeguards and destruction documentation

Explanation: Expiration of the retention period does not remove confidentiality or the duty to verify secure destruction. An approved vendor, contractual safeguards, chain of custody, and destruction evidence create an accountable process.

Question 25 — Correct: C

Correct Answer: Disclose the relevant medication and allergy information needed for emergency care

Explanation: The applicable rule permits information necessary for treating an incapacitated client. A focused disclosure supports emergency care without releasing an unrelated counseling history or waiting for unavailable consent.

Question 26 — Correct: B

Correct Answer: Decline the investment and address any effect of the request on counseling boundaries

Explanation: The proposed investment creates a substantial financial dual relationship and a risk that personal gain will influence treatment. Immediate termination would not automatically eliminate exploitation, while a small investment would preserve the same conflict.

Question 27 — Correct: A

Correct Answer: Explain the diagnosis and disclosure implications, discuss available options, and obtain the client's informed choice

Explanation: The client needs accurate information about what insurance billing requires before choosing whether to submit a claim or self-pay. A vague diagnosis or false promise would undermine informed consent and claim accuracy.

Question 28 — Correct: B

Correct Answer: Verify identity and use the approved merge process while preserving the audit trail

Explanation: Conflicting identifiers create a risk that the charts belong to different people or contain misfiled information. Verification and a controlled, auditable merge protect both record integrity and confidentiality.

Question 29 — Correct: B

Correct Answer: Apply the payer's rule accurately and do not bill the service as though the condition was met

Explanation: The required supervision condition was not satisfied, so a claim stating otherwise would be inaccurate. Later note review cannot retroactively create the availability that the payer requires during the service.

Question 30 — Correct: A

Correct Answer: Verify the request independently and allow only the approved minimum access after protecting open client information

Explanation: The caller's identity and need for access have not been established. Independent verification, closure of visible client data, and supervised minimum access follow policy and reduce the risk of a remote-access attack.

Question 31 — Correct: C

Correct Answer: Report both changes to the board within the required period and update other records consistently

Explanation: Website and payer updates do not replace a direct board reporting requirement. Timely, consistent changes support license verification and accurate professional records.

Question 32 — Correct: A

Correct Answer: Verify and complete location credentialing and submit claims only under accurate, authorized information

Explanation: Claims must identify the actual authorized service location under the stated contracts. Using the main-office address would misrepresent where the service occurred and could create recoupment or fraud concerns.

Question 33 — Correct: A

Correct Answer: Implement the promised transition plan early enough to support continuity and avoid abandonment

Explanation: Planned closure requires timely communication, referral support, emergency information, and record arrangements consistent with informed consent. Waiting until the final week or assigning clients without choice would undermine continuity and autonomy.

Question 34 — Correct: C

Correct Answer: Disable the tracking, contain and assess the disclosure, and use only approved privacy-protective analytics

Explanation: The pixel sends sensitive intake activity to an unapproved advertising network without notice. Removing it, assessing what was transmitted, and choosing approved analytics addresses both the current exposure and future compliance.
